ADAPTCLOUD

PARTNER BRIEF — DISTRIBUTION CONSTRUCT

Compliance software for the defense supplier base: catalog structure and contracting position

VERSION	DATE OF ISSUE	STATUS	PREPARED FOR
1.0	September 6, 2026	For discussion	Prospective distribution partner

DISTRIBUTION
Restricted — named recipients

1 Executive summary

1. **A mandatory, recurring obligation survived the suspension of CMMC Phase II on July 13, 2026.**[1] Phase I self-assessment, DFARS 252.204-7012, NIST SP 800-171 Rev 2, and submission of a score to the Supplier Performance Risk System were all untouched.[2] The deadline moved. The requirement did not.
2. **Category demand was displaced, not removed, and that is the catalog opening.** Every competitor whose motion depended on the November 2026 assessment date has lost its close, while the underlying requirement still attaches to award and renews annually. A listing framed on continuous evidence rather than certification faces materially less competition over the next four to six quarters.
3. **The entry price is set deliberately below the threshold that triggers a procurement review at a typical small supplier.** At $990 annually it represents under one percent of an indicative first compliance cycle (Exhibit 1) and closes on a single purchase order. That is the transaction profile that moves volume through a catalog rather than through a sales cycle.
4. **We hold no federal contract vehicle today.** We state that at section 5 and again at section 8 rather than let a catalog review discover it. Vehicle strategy is a principal reason we are in this conversation, and we propose it as joint work rather than as a precondition to listing.
5. **We propose a 90-day listing test** on the two self-service references, carrying no services dependency, measured on registrations and quote requests rather than revenue.

2 Demand basis

The Department suspended Phase II on July 13, 2026, deferring the third-party assessment requirement set for November 10, 2026, and stood up a reform task force.[1] Phase I self-assessment obligations, the DFARS safeguarding clause, and the underlying NIST standard were not suspended.[2]

For a catalog the consequence is favorable and specific. The addressable requirement persists and renews, while the urgency driving competitor sales motions has been withdrawn. Suppliers must still maintain and submit a current score, and that score degrades as the estate drifts from its assessed configuration. That decay is what creates an annual re-engagement event independent of the assessment regime, and it is why we treat this as subscription rather than as a one-time transaction.

In our experience of Level 2 programs the failure point is rarely the assessment itself. It is the year of evidence discipline in front of it, which is unglamorous, continuous, and exactly what a productized offer can carry.

EXHIBIT 1 — INDICATIVE COST OF LEVEL 2 COMPLIANCE, PER CONTRACTOR

MEASURE	INDICATIVE RANGE	BASIS
First compliance cycle, total	$75,000 – $300,000	Industry estimate inclusive of assessment, remediation, and documentation[3]
Three-year lifecycle, small contractor	~$488,000	Departmental estimate as reported[4]
Purpose-built tooling, annual	$600 – $1,800	Prevailing market range for small-supplier tools[5]
Mid-market GRC platform, annual	$10,000 – $80,000	Published entry and scale pricing for a comparator platform[6]

Figures are reported estimates in US dollars, exclusive of taxes, drawn from secondary sources and not independently validated by us. Presented to fix the order of magnitude behind the catalog position at section 4.

3 Offering description

The offering is a host assessment binary, a versioned control library, and infrastructure-as-code modules for governed cloud deployment. The binary assesses a host against the library, applies remediation on an explicit flag, re-verifies the result, and emits machine-readable evidence. It returns a non-zero exit status while findings remain open, so it drops into an existing pipeline without a wrapper.

Automated coverage is seventeen practices across six of the fourteen control domains, against 110 practices at Level 2. The remaining domains are largely policy, training, and process controls, a substantial share of which no vendor can verify automatically. We publish that figure in the enablement materials and disclose it at qualification rather than describing coverage in general terms. In this category an overstated scope is discovered in front of the client's assessor, and it costs the account and the reference together.

The cloud modules stand up a governed application platform with policy-as-code enforcement and a discrete workload identity per AI agent, aligned to published cloud adoption framework guidance. This addresses governance of AI agents, a control problem the buyer base is walking into now with no established pattern. We regard it as the least substitutable part of the offering and the strongest differentiator in a catalog where the scanning category is crowded.

Every item in an evidence bundle carries a provenance classification: machine-observed, model-asserted, or human-attested. Generative AI drafts narrative and is never presented as observation. That separation is enforced in the data model, and it is what allows an AI-assisted submission to survive an assessor's review rather than collapse under it.

4 Catalog structure

We meter on assessment scope, expressed as hosts, and never on user seats. Scope is the unit the compliance buyer already reasons in, and seat metering penalizes precisely the small-supplier segment that constitutes the volume opportunity in this catalog.

EXHIBIT 2 — PROPOSED CATALOG

REFERENCE	METRIC	LIST	TERM	FULFILLMENT
AC-LOOKUP	Unrestricted	Nil	—	Hosted, ungated. Demand generation.
AC-SCAN-10	10 hosts	$990	12 months	Download and hosted console
AC-HARDEN-25	25 hosts	$2,990	12 months	Download and hosted console
AC-ENCLAVE-100	100 hosts	$18,000 – 30,000	12 months	Subscription inclusive of deployment
AC-HOST-ADD	Per host	$120	Co-terminous	Overage above tier
AC-READY	Per engagement	$8,000 – 20,000	Fixed	Professional services, fixed fee

List positions in US dollars, exclusive of taxes. Client cloud consumption arising from AC-ENCLAVE-100 is contracted and paid directly by the client and is never bundled into a catalog price, so no reference carries a pass-through that would distort comparison against competing products. Distributor terms are open. The enclave position varies with the number of landing zones and workload environments in scope and is quoted per client.

The renewal profile follows the obligation: annual, recurring, with a natural re-engagement event each cycle. We have structured the catalog as renewing subscription rather than perpetual license for that reason, and we would resist any restructuring toward perpetual, which converts a compounding revenue line into an attach-rate problem.

5 Contracting readiness

EXHIBIT 3 — READINESS POSITION BY ITEM

ITEM	POSITION	NOTE
Commercial product	IN PLACE	Assessment binary, control library and cloud modules exist and run today.
Price list	IN PLACE	Exhibit 2. Distributor terms subject to negotiation.
Federal contract vehicle	NOT HELD	No schedule or government-wide acquisition contract is held. Path selection, and whether it is held directly or accessed through the distributor, is the work we are proposing at section 9.
Product classification	UNDER REVIEW	Classification as software publishing rather than IT services affects both size-standard eligibility and how the product is carried. We are deciding it deliberately rather than by default.
FedRAMP authorization	NOT APPLICABLE	Client CUI stays inside the client environment by architectural constraint, so these references do not require authorization. A future fully hosted offering would follow a separate path.
Channel enablement	IN PLACE	Section 6.

Positions stated as of the date of issue. We surface the vehicle position prominently because it is the first item a public sector catalog review examines and the item most often overstated at this stage.

6 Channel enablement

E1 **Demonstration environment.** Hosted reference tool and a scripted assessment-to-evidence walkthrough a sales engineer can run in about fifteen minutes without access to a client host.

E2 **Qualification script.** Four questions that establish whether a prospect holds a live 800-171 obligation, a current SPRS score, and hosts in scope. Designed to disqualify quickly.

E3 **Coverage schedule.** The practices we automate and those delivered by practitioners, published in full. This addresses the most frequent late-stage objection in the category by raising it first.

E4 **Deal registration.** Standard protection terms, with services attachment executed by the partner or by us at the partner's election.

7 Portfolio position and long-term gain

The listing case at section 4 stands on its own. The reason to carry this line for years rather than quarters needs stating precisely, because the obvious version of the argument does not survive contact with how this category will develop.

7.1 A second regime is forming above the one this catalog serves

Defense suppliers are putting AI agents into the same environments that hold controlled unclassified information. Two obligations then apply to one estate: the data rules this catalog already serves, and a newer class governing the agent itself, its permitted authority, and whether its actions can be attributed after the fact.

AIUC-1 is the clearest instance. Published by the Artificial Intelligence Underwriting Company, it carries 51 requirements and roughly 130 controls across six pillars, is audited by an accredited third party, runs on a twelve-month certificate with quarterly technical testing, and is backed by insurance so conformance carries a priced financial guarantee.[7] The first enterprise automation platform certified to it did so in March 2026.[8]

For a catalog owner the relevant signal is not the standard's content. It is that an insurer has agreed to price agent risk, which is the most reliable evidence available that buyers will pay for agent assurance.

7.2 Generic agent governance is not a durable catalog line

We would be doing the distributor a disservice by pitching this as a land grab on agent governance broadly. An assurance regime with insurer backing and platform vendors already certifying creates direct commercial pressure on those vendors to ship baseline agent identity, policy binding, and action logging natively. We expect that on a twelve to twenty-four month horizon, and it will absorb the general-purpose end of this category.

Any vendor asking for shelf space on the claim that they govern AI agents is asking the distributor to carry a line with a scheduled expiry.

7.3 The durable line is the regulated boundary

Platform vendors will not follow into CUI. Serving those workloads means accepting DFARS flow-down, and a hosted service touching CUI requires FedRAMP Moderate authorization or documented equivalency. That is unattractive at platform scale, which is what leaves the position open. Three things in these references do not commoditize on the platforms' schedule: the architectural boundary that keeps client CUI out of the service, a control library written against NIST SP 800-171 Rev 2 rather than against an assurance standard, and provenance classification carried through to a federal submission rather than an internal log.

The catalog line is therefore not "agent governance." It is compliance and agent governance for suppliers whose data is regulated, which is a narrower shelf and one that stays occupied.

7.4 What the channel gains across three horizons

0–12 mo	**A renewing line in a market with an unmet obligation and weakened competition.** Competitors positioned on the suspended deadline are stalling while the requirement is unchanged and annual. This horizon rests on nothing but the compliance obligation.
12–24 mo	**Category definition on the regulated shelf, not the general one.** The general agent-governance shelf will be stocked by platform vendors on their own terms. The regulated-boundary shelf will not, and a distributor that establishes it early sets its comparison terms and attach patterns.
24 mo +	**Attach against AI volume already carried, and portability with a caveat.** Agent governance in regulated environments is a rider on AI deployments already moving through the catalog rather than a new hunt. The same reference structure extends to healthcare, financial services, and critical infrastructure against a different control catalog with no change to how it is listed, metered or fulfilled. We present that as optionality rather than as a second defensible position, because each of those verticals has incumbents.

We would rather ask for a narrow shelf we can hold than a broad one we will be pushed off, and we are proposing this listing on that basis.

8 Assumptions and risks

8.1 Assumptions

A1	Client hosts are Linux-based and administrative access is available during an assessment window.
A2	Cloud consumption arising from AC-ENCLAVE-100 is contracted directly by the client and is excluded from every figure here.
A3	First-line support is provided by the partner where the transaction is partner-led. We provide second line.
A4	Market figures at Exhibit 1 are secondary and unvalidated, as stated.
A5	The regulatory position at section 2 is current as of the date of issue and subject to the reform task force's output.

8.2 Risk register

REF	RISK	ASSESSMENT	MITIGATION	OWNER
R1	Absence of a contract vehicle restricts addressable procurement routes.	High / High	Joint path selection at section 9, run in parallel with listing rather than as a precondition to it.	Joint
R2	Program reform alters or removes the underlying obligation.	Medium / High	Annual terms with no multi-year commitment. Positioning rests on 800-171 and DFARS obligations, which stand independently of the assessment mechanism.	Joint
R3	Automated coverage raised as an objection late in a sales cycle.	High / Medium	Coverage schedule published and disclosed at qualification (E3).	AdaptCloud
R4	Low catalog pull at the entry price owing to absent brand recognition.	Medium / Medium	Free reference tool run as demand capture against the existing base. Assessed at 60 days under section 9, early enough to change course inside the test.	Joint
R5	Scope extension puts client CUI inside the service, triggering authorization obligations.	Low / High	Architectural constraint reinforced by contractual restriction in the distribution agreement.	AdaptCloud

Assessment expressed as likelihood / impact. The register is ours and deliberately short; we expect it to be restated jointly at listing.

9 Recommended next step

A 90-day listing test on the two self-service references, in four workstreams.

W1 **List AC-SCAN-10 and AC-HARDEN-25** as a low-friction test of catalog pull carrying no services dependency.

W2 **Run the reference tool as a demand capture asset** against the existing defense supplier base, measured on registrations rather than revenue through the first 60 days.

W3 **Select the contract vehicle path jointly** and start the qualification it requires, in parallel with listing.

W4 **Agree distributor terms and deal registration mechanics** in advance of first listing.

Review point. At 90 days, against registration volume, quote requests, and conversion, we decide together whether the enclave and services references join the catalog. We would rather list two references that move than six that sit.

BASIS OF PREPARATION

Prepared from inspection of the AdaptCloud repositories and from the publicly available secondary sources cited below. No independent market research, buyer interview program or financial audit was undertaken for this document. The coverage figure at section 3 is derived by direct enumeration of the implemented control set and is verifiable against the source repository. The cost figures at Exhibit 1 are reported estimates we have not validated. Statements on regulatory position are current as of the date of issue and are not legal advice. No representation is made as to contract vehicle eligibility, which is stated as not held at Exhibit 3.

SOURCES

1. Reporting on the suspension of CMMC Phase II announced July 13, 2026, and on the constitution of the reform task force. *A-LIGN; Latham & Watkins; Federal News Network*, accessed September 6, 2026.
2. Continuing effect of Phase I self-assessment, DFARS 252.204-7012, NIST SP 800-171 Rev 2 and SPRS submission. *A-LIGN; SC Media*, accessed September 6, 2026.
3. First-cycle Level 2 compliance cost estimates. *IBSS; Godlan*, accessed September 6, 2026.
4. Reported departmental three-year cost estimate for a small defense contractor. *Godlan*, accessed September 6, 2026.
5. Prevailing pricing for purpose-built small-supplier CMMC tooling. *CMMC Map; Totem Technologies published pricing*, accessed September 6, 2026.
6. Published entry and scale pricing for a mid-market compliance automation platform. *Sprinto; vendor-published pricing*, accessed September 6, 2026.
7. Description of the AIUC-1 standard: publisher, requirement and control counts, six risk pillars, third-party audit, twelve-month validity with quarterly testing, and insurance backing. *Mindgard; Tevora; Workstreet; usefini*, accessed September 6, 2026. AdaptCloud has not reviewed the published control text.
8. First enterprise automation platform certified to AIUC-1, March 2026. *UiPath newsroom*, accessed September 6, 2026.

This document contains no client-identifying information and makes no past-performance representation. Reference accounts are provided under non-disclosure agreement. Pricing is indicative list and subject to change.